

The MSRP is just that: a suggestion. Dealers don't expect you to pay it but will gladly take your money if you don't try to negotiate. Dealers receive rebates, allowances, discounts, and incentive awards that reduce the cost of the cars they sell. If the salesperson shows you the actual invoice price and tells you he's not making any money on the deal, he's not being entirely up front with you.

Don't Pay for More Than What You Want

If you can't find a car with the options you want, try calling around to other dealerships, or consider ordering a car. You'll have to wait longer, but why pay for features you don't need or want just because the car is sitting on the lot? On the other hand, if the dealer is willing to negotiate a good deal because it wants to move cars off the lot, it may be worthwhile to buy a car with extra features. The only way you'll know whether or not it's a good deal is to know the dealer's cost on the car and each option. Once you've determined what car you want to buy, call around to several dealers and ask for their best price. Compare their estimates to information found on websites such as [Edmunds.com](http://www.edmunds.com) (www.edmunds.com) or [Autobytel.com](http://www.Autobytel.com) (www.Autobytel.com). The more information you're armed with and the more you appear to know about how new-car pricing and selling works, the better off you'll be.



Car-buying services such as those offered by Costco (www.costco.com) and [Autoweb.com](http://www.autoweb.com) (www.autoweb.com) negotiate special member-only prices with dealerships all over the country. For example, if you're a Costco member you can research the cars on its website, do side-by-side comparisons of different models, set up an appointment at a participating dealership, and automatically get the no-haggle price.
